Configuration Document – Accounts Payable Implementation

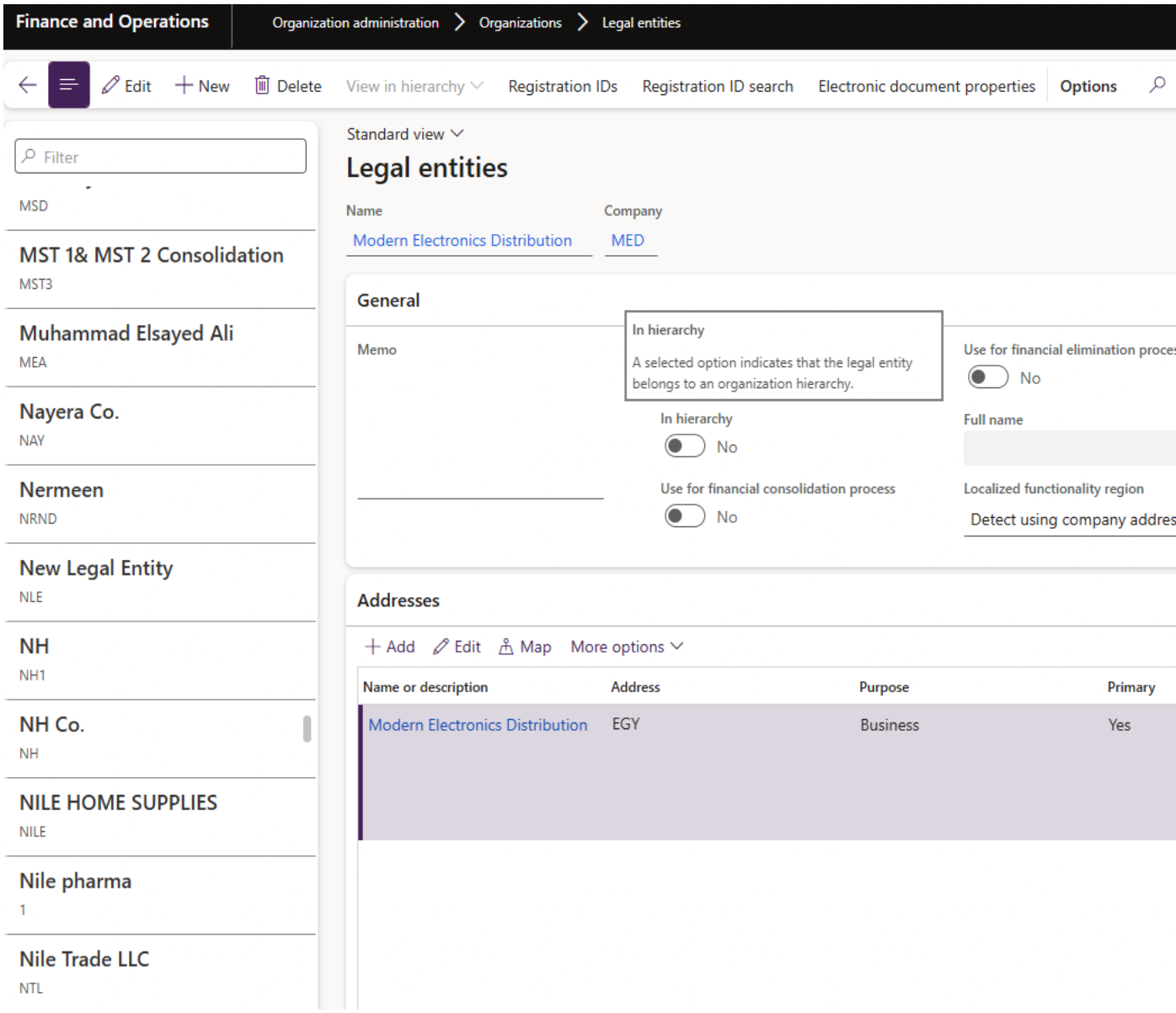
Introduction

This document describes the configuration steps performed in Microsoft Dynamics 365 Finance to implement the Accounts Payable module for Modern Electronics Distribution company.

Step 1 — Create Legal Entity

Form path
Organization Administration → Legal Entities

Explanation
A new legal entity was created to represent the company Modern Electronics Distribution in the system.
This entity will be used to record all financial transactions.

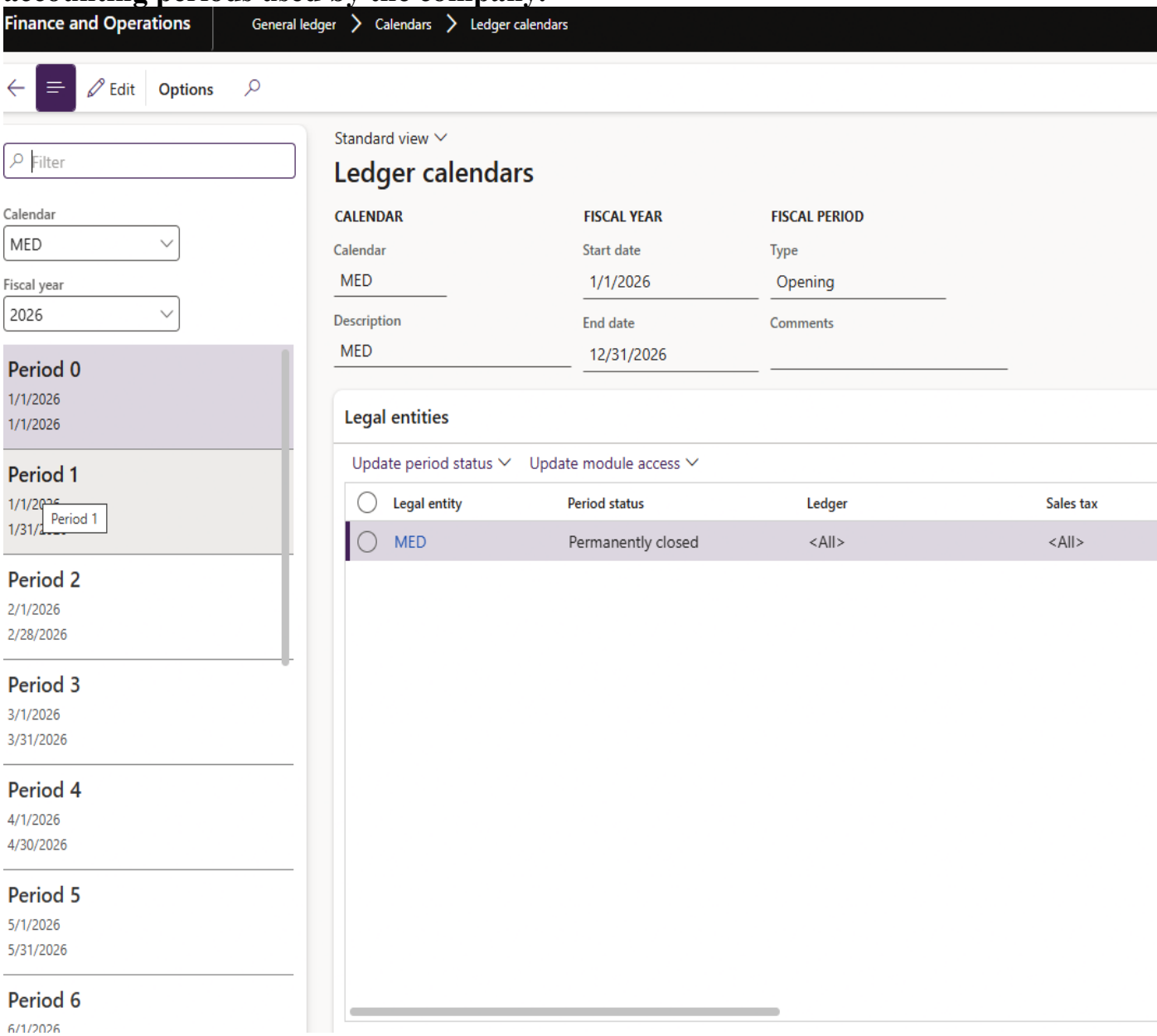


Step 2 — Create Fiscal Calendar

Form path
General Ledger → Fiscal Calendars

Explanation
The fiscal calendar was created to define the financial year and

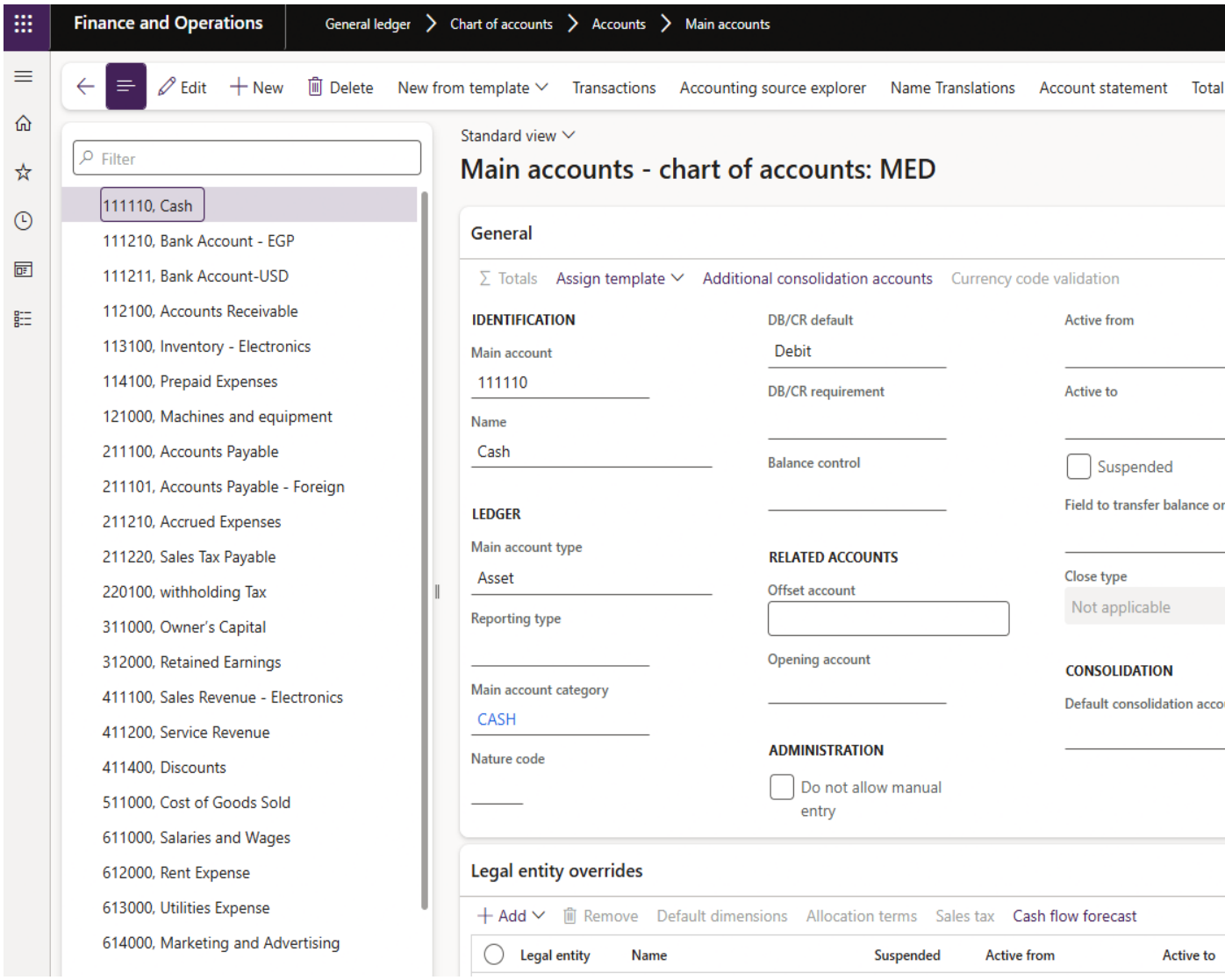
accounting periods used by the company.



Step 3 — Create Chart of Accounts

Form path
General Ledger → Chart of Accounts → Main Accounts

Explanation
Main ledger accounts were created to record financial transactions including vendor liabilities and expenses.



Step 4 — Create financial Dimensions

Form path
General ledger >> Chart of account >> Dimensions >> Financial Dimensions

Finance and Operations

General ledger > Chart of accounts > Dimensions > Financial dimensions

Edit | New | Delete | Activate all | Dimension values | Derived dimensions | Set up hierarchies | Translations | Main account tr

Filter

bR105
Active

bracheees
Active

BRANCH
الفروع
Active

Branches
Active

branches_usmf
Active

branchess
Active

budget_code
Active

bus
Active

Standard view

Financial dimensions

Use values from	Dimension name	Report column name	Status
< Custom dimension >	Branches		Active

Administration

ADMINISTRATION

Dimension value mask

Copy values to this dimension on each...
No

Require the dimension to
No

Require values for the dim

Step 5 — Configure account structures

Form path
General ledger >> Chart of accounts >> structures >> Configure account structures

Finance and Operations | General ledger > Chart of accounts > Structures > Configure account structures

Edit | New | Delete | Delete draft | Duplicate | Rename | Activate | Validate | Cancel activation | Advanced ru

Account structures | Standard view

MED

Segments and allowed values

Add | Remove | Duplicate | Validate | Add segment | Segment actions

Only show overlapping rows

MainAccount	AAM_Branches	Active from	Active to
*	*		

Allowed value details

Blank values are allowed
("")

Apply | Revert | Clear all

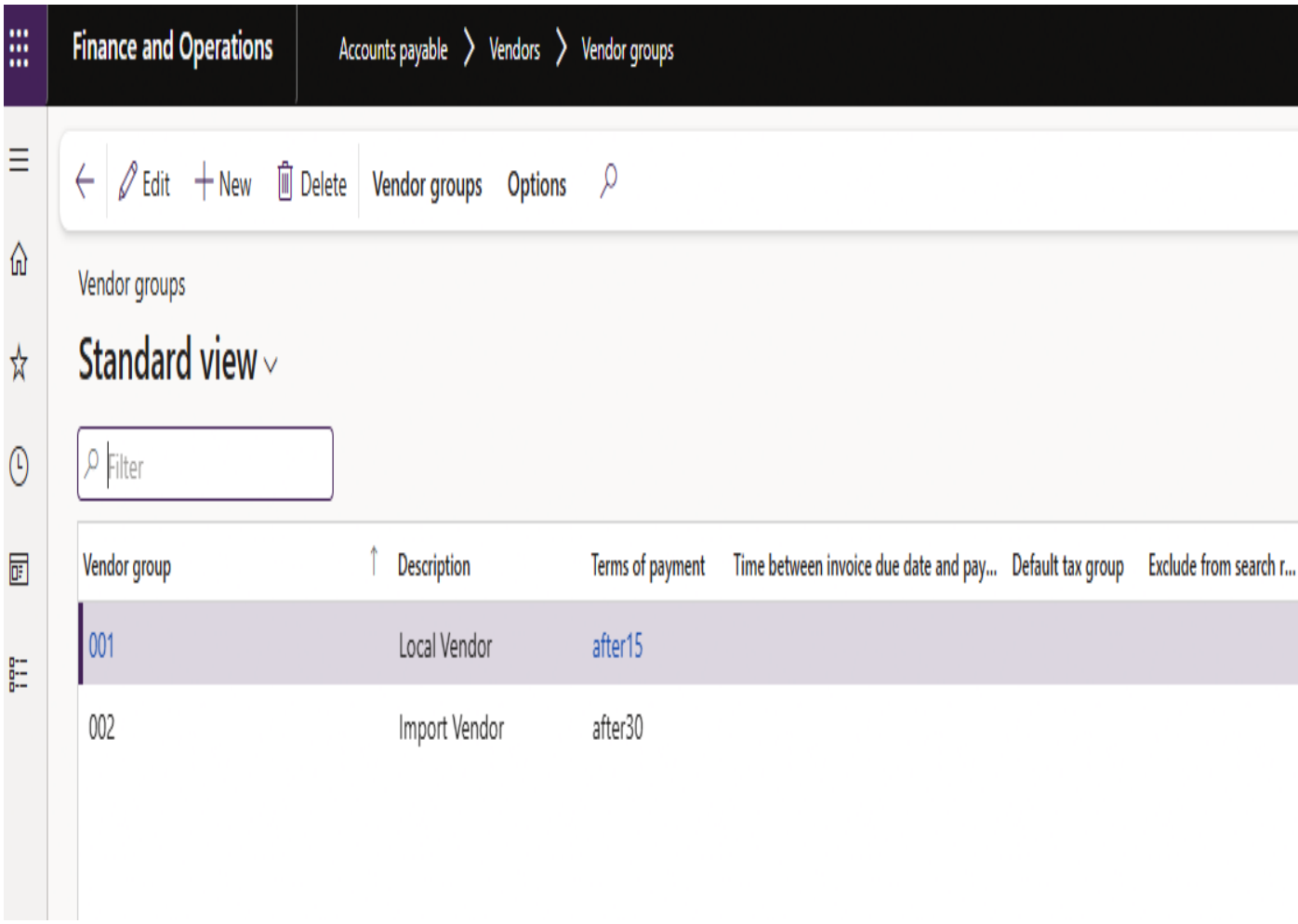
Step 6 — Create Vendor Groups

Form path
Accounts Payable → Vendor Groups

Explanation
Vendor groups were created to classify suppliers.

Groups created:

- **LOCAL**
- **FOREIGN**



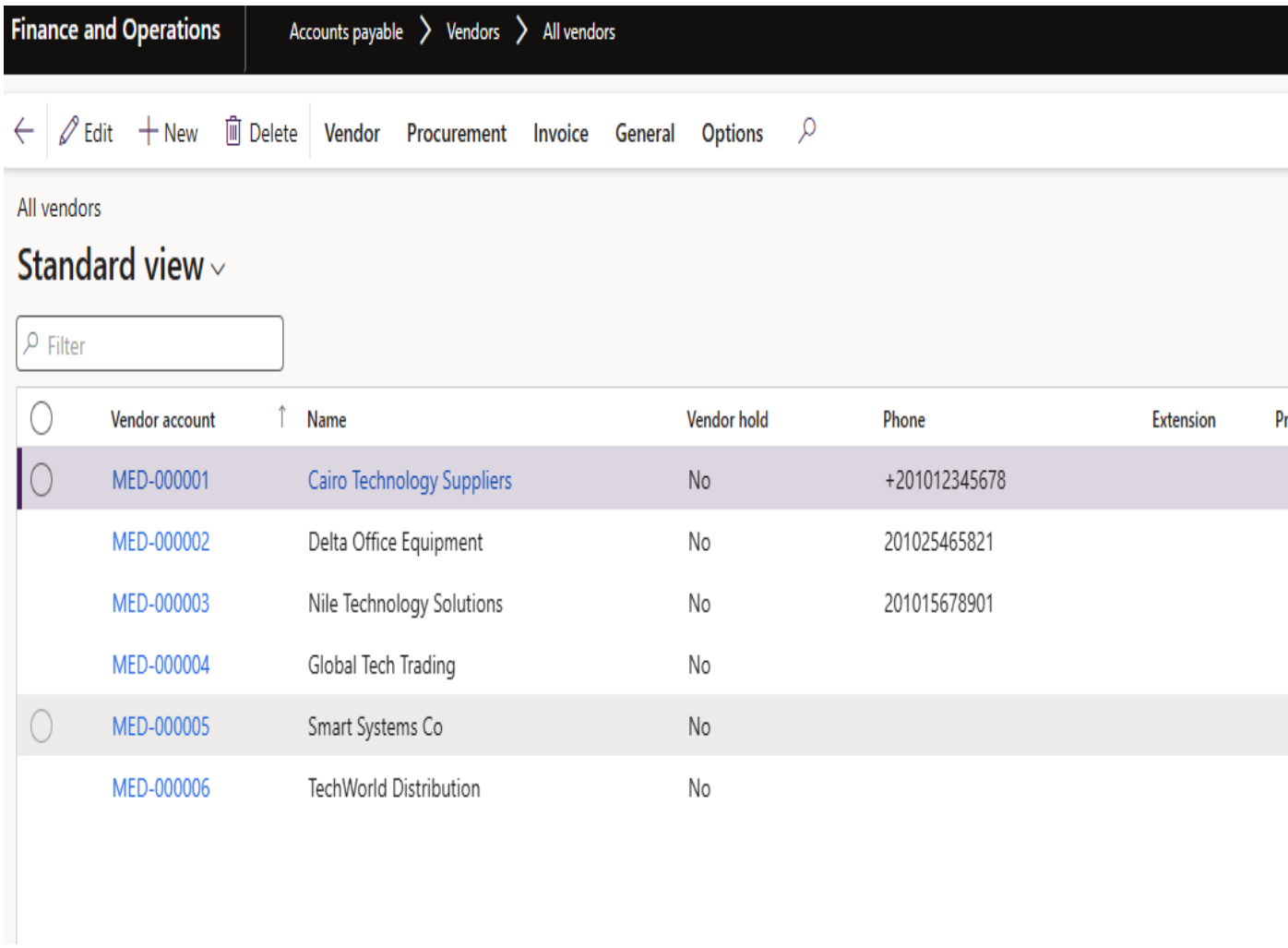
Step 7 — Create Vendor

Form path
Accounts Payable → Vendors → All Vendors

Description
Vendor accounts were created to represent suppliers.

Example vendors:

Vendor 1 – Local Supplier
Vendor 2 – Foreign Supplier

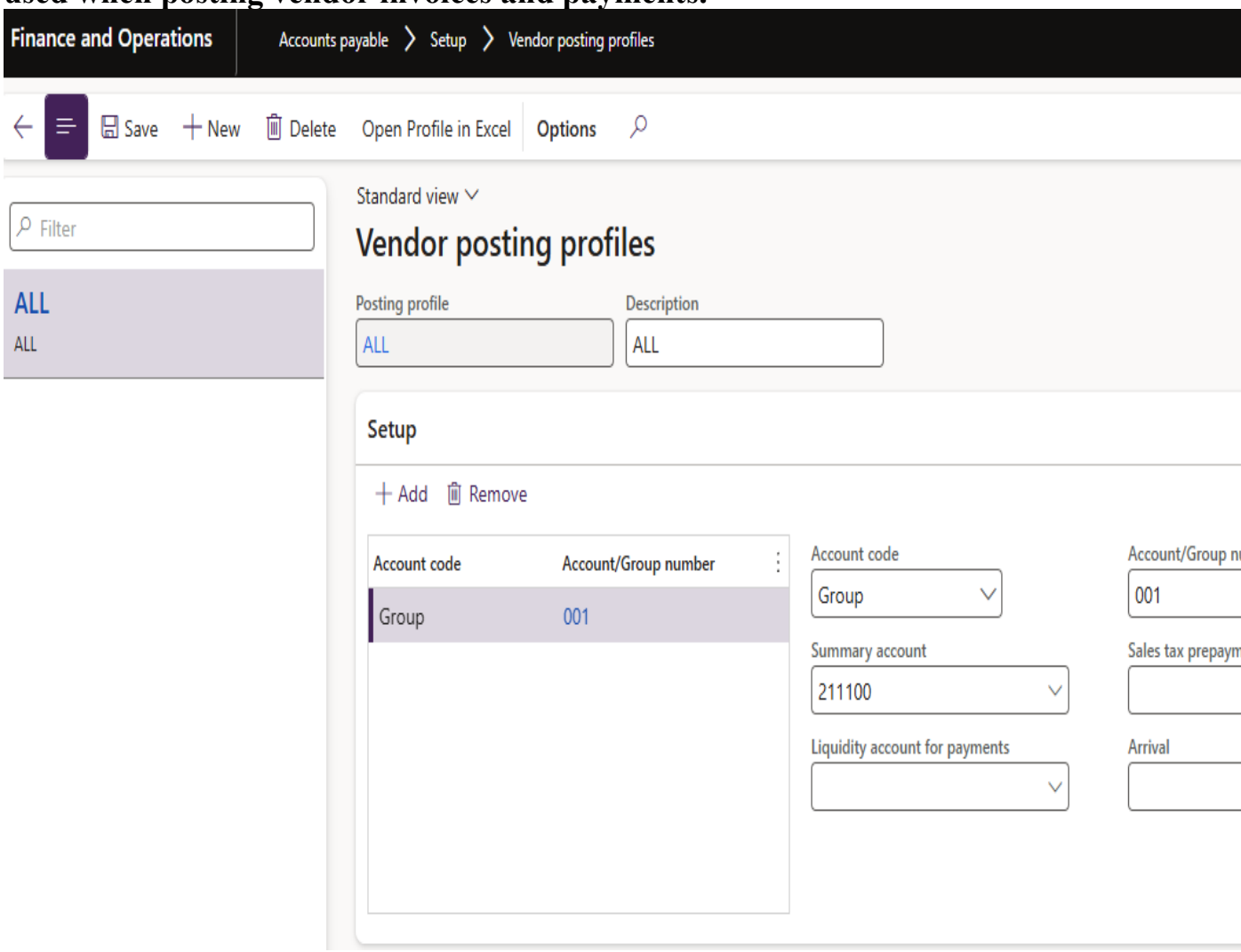


Vendor account	Name	Vendor hold	Phone	Extension
MED-000001	Cairo Technology Suppliers	No	+201012345678	
MED-000002	Delta Office Equipment	No	201025465821	
MED-000003	Nile Technology Solutions	No	201015678901	
MED-000004	Global Tech Trading	No		
MED-000005	Smart Systems Co	No		
MED-000006	TechWorld Distribution	No		

Step 8 — Configure Vendor Posting Profiles

Form path
Accounts Payable → Setup → Vendor Posting Profiles

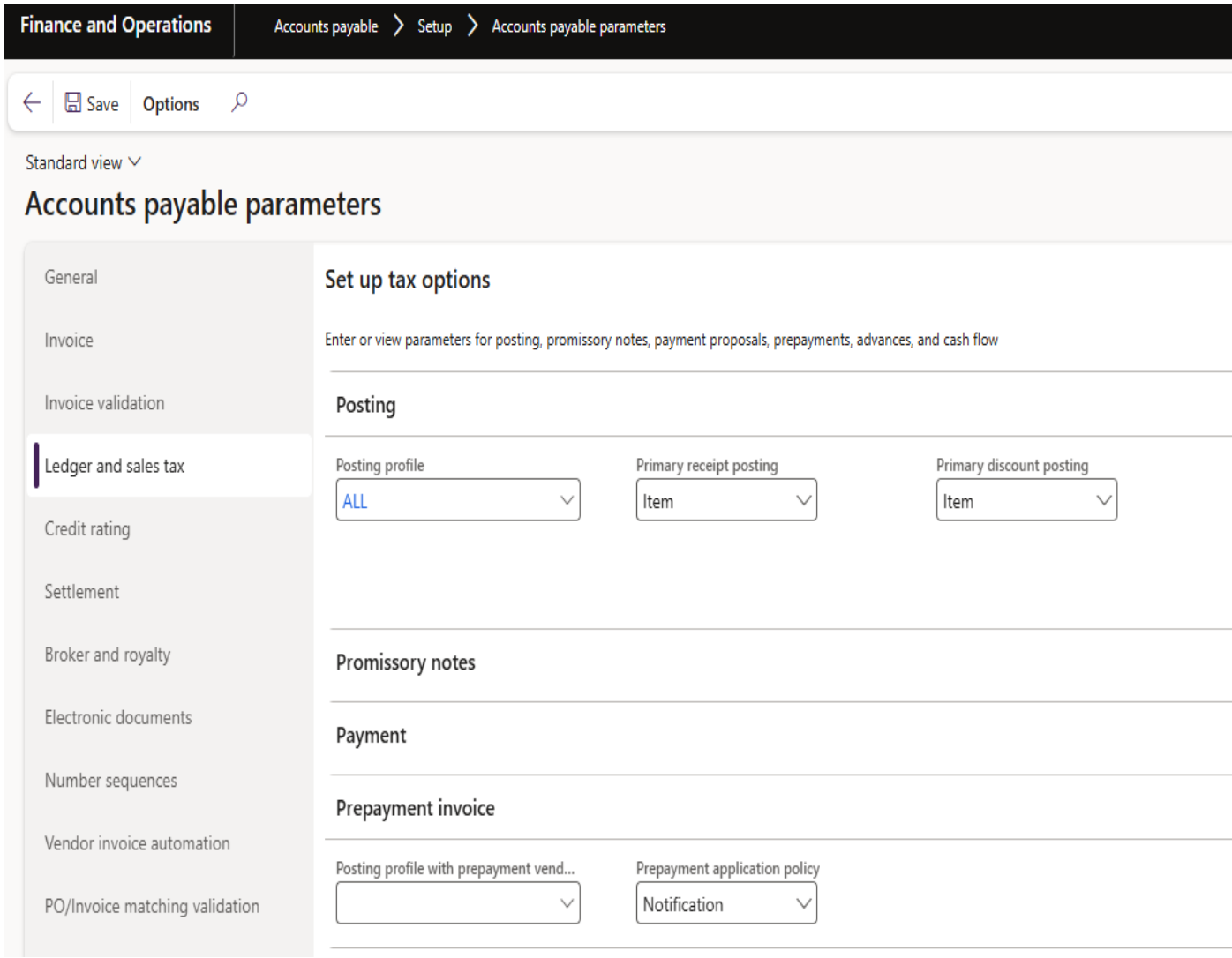
Explanation
Vendor posting profiles were configured to define the ledger accounts used when posting vendor invoices and payments.



Step 9 — Configure Accounts Payable Parameters

Form path
Accounts Payable → Setup → Accounts Payable Parameters

Explanation
Important settings for the Accounts Payable module were configured to control vendor transactions.



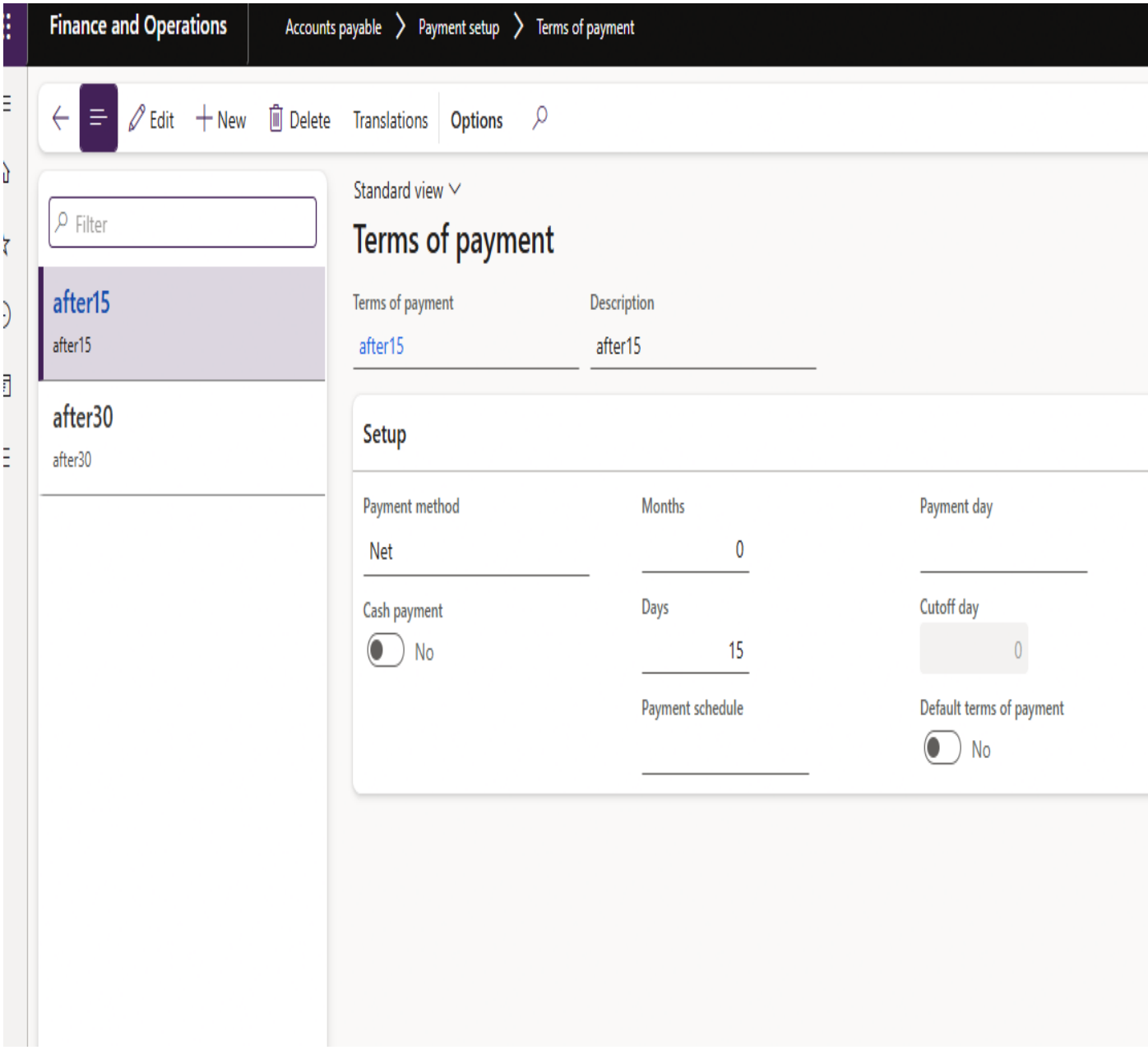
Step 10 — Configure Payment Terms

Form path
Accounts Payable → Setup → Payment Terms

Explanation
Payment terms define when vendor invoices must be paid.

Examples created:

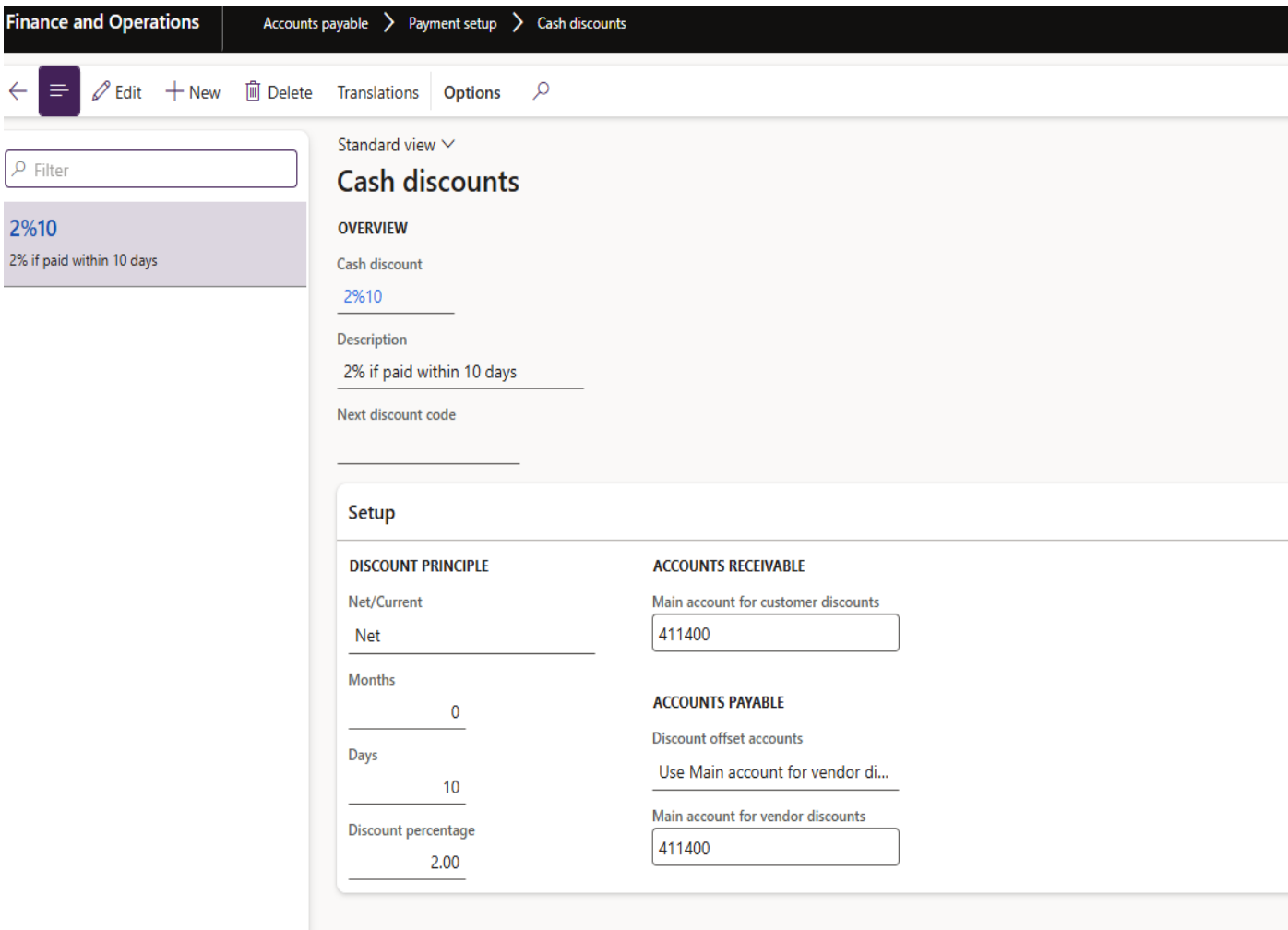
- **Net 15**
- **Net 30**



Step 11 — Configure Cash Discounts

Form path
Accounts Payable → Setup → Cash Discounts

Explanation
Cash discounts were configured to allow early payment discounts.

Example:

2% discount if paid within 10 days.